IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/1207(CHE)/2019
In
CA/545/CAA/2020

Under Sections 230 to 232 of the Companies Act, 2013 with Rule 15(2) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of *Scheme of Arrangement (Demerger)*

Between

KUP Realty Developers Private Limited
CIN: U70109TN2007PTC062034
Reg. Off.:-
No.270, Baba Nagar,
1st Cross Street, Villivakkam,
Chennai – 600 049

...1st Petitioner Company/Demerged Company

And

KUP Agri Farms And Hospitality Private Limited
CIN: U15549TN2017PTC118940
Reg. Off.:-
No. 270, Baba Nagar,
1st Cross Street, Villivakkam,
Chennai – 600 049

...2nd Petitioner Company/Resulting Company

And

Their Respective shareholders

Order Pronounced on 11th March, 2022

CORAM

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioners : Murugesh Kasivel,
A. Raja Mohamed,
M.A. Sahul Hameed, Advocates

ORDER

***Per:* Justice (Retd.)S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration is a joint Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the

Petitioner Companies viz. M/s. **KUP Realty Developers Private Limited** *(hereinafter referred to as the "Demerged Company")* and **M/s. KUP Agri Farms and Hospitality Private Limited** *(hereinafter referred to as the "Resulting Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement of Demerger (hereinafter the 'SCHEME') proposed between the Companies which has been annexed as Annexure '8' to the typed set filed along with the Petition.

2. The Scheme contemplates the following:

(a) Transfer and vesting of the demerged undertaking from a demerged company as a going concern into the resulting company in the manner specified in the Scheme given in Annexure 8 of the typed set of application.

3. The Rationale and benefits of the Scheme as submitted by the Petitioner Companies are as follows:

a) The Demerged Company is engaged in two distinct lines of business namely:

i. To acquire, purchase, sale lease, exchange, hire or otherwise hold, manage, work, develop, dispose off or otherwise deal with the resources of and turn to account any estates, lands, buildings, tenements and other property of every description, whether freehold or leasehold and other tenure or wheresover situate and any

interests therein and rights connected therewith and in particular to acquire or takeover certain estates situate in India or outside and all or any parts thereon and any other assets used in connection therewith and to carry on the business as builders, property developers, consultant, civil, mechanical and labor contractors, building and erection engineers, dealers in, importers, exporters and manufacturers of prefabricated and precast houses.....etc.

ii. To carry on in India or elsewhere the business to the manufacture, grow, produce, process, prepare, disinfect, compound, mix clean, concentrate, segregate, pack, repack, grade, preserve, extract, buy, sell, resell, import, export, distribute, market, supply and to act as agents, broker, stockiest, liasioner or otherwise deal in all types, descriptions, tests, uses of packs dairy products, agricultural produce,...etc.

b) The nature of risk and competition involved in the business of Real Estates and Property Developers, Agri Farms and Hospitality Business, necessitates different management approach and focus. Thus, separation of the Agri Farms and Hopitality Business, by way of the Scheme, including its business, undertaking and investments from the Demerged Company would lead to significant benefits for both businesses including:

i. enhanced strategic flexibility to build a vibrant industrial platform.

ii. enable a dedicated management focus and to accelerate growth of the business unlocking significant value for the shareholders of the Demerged Company; and

iii. access to varied sources of funds for the rapid growth of both businesses.

4. The Petitioner Companies had filed the First Motion Application vide CA/545/CAA/2019 seeking dispensation of the requirement of convening the meeting of the Equity Shareholders and Secured Creditors and Unsecured Creditors in relation to the

Demerged and Resulting Company and based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 17.06.2019. Subsequent to the said order, this Tribunal vide daily order dated 07.02.2020 fixed date for hearing the Petition as well as for other consequential directions in terms of provisions of Section 230 to 232 of the Act read with Rule 15 of the Rules.

5. This Tribunal vide the above mentioned daily order dated 07.02.2020 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. Regional Director, RoC, Chennai, the Income Tax Department as well as for paper publication to be made in "Indian Express", English (Tamil Nadu Edition) and "Dinamani" Tamil (Tamil Nadu Edition).

6. In compliance of the same, the Petitioner Companies have filed an affidavit of service on 13.03.2020; in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have complied with the paper publication as directed by the Tribunal in one issue of "Indian Express" (Tamil Nadu Edition) in English and "Dinamani" (Tamil Nadu Edition) in Tamil on 06.03.2020. Further notices have been also served to (i) The Regional Director, Southern Region, Chennai on 24.02.2020, (ii) Registrar of Companies Chennai on 24.02.2020, (iii) Assessing Officer, Income

Tax Department on 24.02.2020, and the proof of the same acknowledgements/receipts have also been enclosed.

7. The Regional Director, (for brevity, the 'RD') Chennai to whom the notice was issued in the first motion itself, has filed his Report on 17.01.2020 before this Tribunal and has stated in Para 9 of the Report that they have decided not to make any objection to the Scheme.

8. Despite notice having been served, there is no representation from the Department of Income Tax and in the circumstances; this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

9. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

10. The Petitioner Companies have complied with the proviso to Section 230 (7) / Section 232 (3) by filing the certificate of the Company's Auditor in relation to compliance with the prescribed Accounting Standards and Section 133 of the Companies Act, 2013 and the rules framed thereunder.

11. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

12. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "8" with the Company Petition as well as the prayer made therein.

13. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

14. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

a. That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

b. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

c. That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

d. That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

e. That the Resulting Company shall without any further application or deed, issue and allot shares credited as fully paid-up, to the shareholders of Demerged Company, holding shares in the Demerged Company and whose name appears in the Register of Members on the Record Date or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognised by the respective Board of Directors in the following proportion:

f. "2 (Two) Fully paid up equity share of face value of Rs.10/- (Ten Rupees) each of KUP Agri Farms and Hospitality Pvt. Ltd for every 1 (One) fully paid up equity share of face value of Rs.10/- (Ten Rupees) each held in KUP Realty Developers Pvt. Ltd."

g. That the sanction of the scheme resulting in the reduction of the share capital of the Resulting Company as above shall be in accordance with the provisions of Section 230 of the Companies Act, 2013 without any further application, act or deed required by the Resulting Company or its shareholders.

h. That the Appointed date for the Scheme is **17.11.2017.**

i. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

j. That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

15. Accordingly, the Company Petition CP(CAA)/1207(CHE)/2019 stands ***Allowed***.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

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